GLOUCESTER
ZAKAT FUND
CHARITY FOR LOCAL RESIDENTS

FINANCIAL RESERVES POLICY

Document Information	
Policy Name	Financial Reserves Policy
Version	1.0
Policy Owner	Board of Trustees
Approved by	Board of Trustees
Date Approved	01/02/2026
Next Review Date	01/02/2028
Related Policies	Internal Financial Controls Policy, Grant-Making Policy

1. Introduction

Gloucester Zakat Charity ("the Charity") is a Charitable Incorporated Organisation established to prevent and relieve poverty and financial hardship in Gloucestershire and the wider United Kingdom, with a particular focus on members of the Muslim community. The Charity distributes Zakat (obligatory Islamic almsgiving) and Sadaqah (voluntary charity) to eligible beneficiaries.

This Financial Reserves Policy sets out the Charity's approach to holding financial reserves. It has been developed in accordance with Charity Commission guidance (CC19 - Charity reserves: building resilience) and reflects the Charity's commitment to both financial sustainability and the prompt distribution of charitable funds to those in need.

As a volunteer-run charity with no paid staff, the Charity has relatively low fixed operating costs. However, it is still prudent to maintain appropriate reserves to ensure the Charity can continue its work during periods of uncertainty or unexpected circumstances.

2. Purpose

The purpose of this policy is to:

- Establish a prudent and responsible approach to holding financial reserves
- Ensure the Charity maintains sufficient funds to meet its ongoing obligations
- Provide a buffer against unexpected financial challenges or income fluctuations
- Balance the need for reserves against the obligation to distribute charitable funds
- Comply with Charity Commission requirements and best practice
- Provide transparency to donors about how their contributions are managed
- Guide trustee decision-making on financial matters

3. Definitions

3.1 Types of Funds

The Charity holds different types of funds, which must be understood when considering reserves:

Restricted Funds: Funds that can only be used for specific purposes as specified by the donor. For the Charity, this includes:

- **Zakat funds:** Must be distributed to eligible Zakat recipients as defined by Islamic law. Zakat funds should be distributed promptly and are not available to be held as general reserves.
- **Other restricted donations:** Donations given for specific purposes (e.g., emergency relief, specific beneficiary support).

Unrestricted Funds: Funds that can be used for any purpose that furthers the Charity's objects. This includes general donations and Sadaqah (unless the donor has specified a particular use).

Designated Funds: Unrestricted funds that trustees have set aside for a particular purpose. Unlike restricted funds, these designations can be changed by the trustees if necessary.

3.2 Free Reserves

Free reserves are the unrestricted funds that are freely available to spend on any of the Charity's purposes. They exclude:

- Restricted funds (including Zakat)
- Designated funds (unless the designation is removed)
- Funds tied up in fixed assets

It is the level of free reserves that this policy primarily addresses.

4. Zakat and Reserves

Islamic principles require that Zakat should be distributed to eligible recipients promptly. Holding Zakat funds in reserves for extended periods would be contrary to the purpose for which they were given. The Charity is therefore committed to distributing Zakat funds as quickly as reasonably possible, typically within the financial year in which they are received.

Zakat funds are not included in the Charity's reserves calculation. Any Zakat funds held at the year-end represent donations received but not yet distributed, rather than reserves being deliberately held back.

The Charity's reserves are therefore held from unrestricted funds (general donations and Sadaqah without specific restrictions).

5. Reserves Target

5.1 Target Level

The Charity has set a target reserves level equivalent to **three months' core operating expenditure**.

As a volunteer-run charity with no paid staff, the Charity's core operating costs are relatively modest and consist primarily of:

- Insurance premiums
- Banking and transaction fees
- Website hosting and IT costs
- Accounting and independent examination fees
- Printing, postage, and communication costs
- Any regulatory or compliance costs
- Minor volunteer expenses

5.2 Calculation

Based on current operating costs, the target reserves level is calculated as follows:

Item	Amount
Estimated annual core operating costs	£2000
Three months' operating costs (annual ÷ 4)	£500
Target Reserves Level	**£1000**

Note: The actual figures should be inserted when this policy is adopted and updated annually.

5.3 Range

The Charity will aim to maintain free reserves within a range of **two to four months' operating expenditure**. This range allows some flexibility while ensuring reserves remain at an appropriate level.

6. Rationale for Reserves Level

The target reserves level has been determined by the trustees based on an assessment of the risks facing the Charity. Key considerations include:

- **Income volatility:** The Charity's income depends largely on voluntary donations, which can fluctuate, particularly during Ramadan and other peak giving periods.
- **Timing of donations:** A significant proportion of donations are received during Ramadan. Reserves help bridge gaps during quieter periods.
- **Unexpected costs:** Reserves provide a buffer against unforeseen expenditure, such as urgent insurance claims, IT failures, or compliance costs.
- **Wind-up costs:** In the unlikely event the Charity needed to close, reserves would cover the costs of winding up responsibly.
- **Maintaining credibility:** Adequate reserves demonstrate financial stability to donors, and regulators.

The three-month target is considered appropriate for a volunteer-run charity with low fixed costs. It provides sufficient resilience without holding excessive funds that could otherwise be distributed to beneficiaries.

7. Use of Reserves

7.1 Circumstances for Using Reserves

Reserves may be used in the following circumstances:

- To meet operating costs during a temporary shortfall in income
- To cover unexpected or emergency expenditure
- To fund one-off strategic initiatives or development activities
- To meet wind-up costs if the Charity were to close
- To respond to exceptional circumstances affecting beneficiaries

7.2 Approval for Using Reserves

Any significant use of reserves (defined as spending that would reduce reserves below the target level) requires approval from the Board of Trustees. The decision should be documented, including the reason for the expenditure and the plan for replenishing reserves.

7.3 Replenishing Reserves

If reserves fall below the target level, the trustees will develop a plan to replenish them within a reasonable timeframe. This may involve:

- Reviewing expenditure to identify savings
- Seeking additional unrestricted donations
- Setting aside a proportion of future unrestricted income
- Adjusting the pace of grant-making from unrestricted funds

The trustees will balance the need to rebuild reserves against the ongoing obligation to support beneficiaries.

8. Reserves Above Target

If free reserves exceed the upper end of the target range (four months' operating expenditure), the trustees will consider how to deploy the excess funds in furtherance of the Charity's objects. This might include:

- Increasing grant-making to beneficiaries
- Investing in capacity-building activities
- Funding specific projects or initiatives
- Designating funds for future planned expenditure

The Charity will not accumulate excessive reserves that could otherwise be used to help those in need.

9. Holding Reserves

Reserves will be held in accessible bank accounts to ensure they are available when needed. The Charity does not currently hold investments, but if reserves were to be invested in future, this would be done in accordance with a separate Investment Policy and would ensure appropriate liquidity.

Reserves should be held in accounts that are secure and, where possible, earn a reasonable rate of interest consistent with ready access to funds.

10. Roles and Responsibilities

10.1 Board of Trustees

The Board of Trustees is responsible for:

- Setting and approving the reserves policy and target level
- Reviewing the reserves level at least annually
- Approving any significant use of reserves
- Ensuring reserves are reported appropriately in the annual accounts
- Taking action if reserves fall outside the target range
- Explaining the reserves policy and current position to stakeholders

10.2 Treasurer (or designated trustee)

The trustee with responsibility for financial matters should monitor the reserves position, report to the Board regularly, and flag any concerns about reserves falling below or significantly exceeding the target level.

11. Monitoring and Review

11.1 Monitoring

The reserves position will be monitored at each Board meeting as part of the financial report. The Board will review whether the current reserves level is within the target range and consider any action needed.

11.2 Annual Review

This policy will be reviewed annually by the Board of Trustees. The annual review will consider:

- Whether the target level remains appropriate

- Any changes to the Charity's operating costs
- Any changes to the risk profile of the Charity
- The actual reserves level compared to target
- Any action needed to bring reserves to the target level
- Any changes to Charity Commission guidance

12. Reporting and Transparency

The Charity will disclose its reserves policy and the actual reserves level in its annual Trustees' Report and Accounts, as required by the Charities SORP (Statement of Recommended Practice). This disclosure will include:

- The Charity's reserves policy
- The target reserves level and the rationale
- The actual reserves held at the year-end
- Whether actual reserves are in line with the target
- Any action being taken to address material differences

This transparency helps donors and other stakeholders understand how the Charity manages its funds.

13. Action if Reserves are Outside Target Range

13.1 Reserves Below Target

If reserves fall below the minimum level (two months' operating expenditure), the trustees will:

- Assess the reasons for the shortfall
- Review expenditure commitments and identify any savings
- Consider fundraising initiatives to increase unrestricted income
- Develop a plan to restore reserves to the target level
- Monitor progress against the plan

13.2 Reserves Above Target

If reserves exceed the maximum level (four months' operating expenditure), the trustees will:

- Review whether the target level should be revised
- Consider designating funds for specific projects or future expenditure
- Consider increasing grant-making or charitable activities
- Document the reasons if reserves remain above target

14. Related Policies

This policy should be read in conjunction with:

- Financial Controls Policy
- Grant-Making Policy
- Investment Policy (when developed)

15. Regulatory Guidance

This policy has been developed with reference to:

- Charity Commission guidance CC19 – Charity reserves: building resilience
- Charities SORP (FRS 102) – Statement of Recommended Practice
- Charity Commission annual reporting requirements

16. Approval and Version History

Version	Date	Approved By	Changes
1.0	01/02/2026	Board of Trustees	Initial policy

17. Trustee Declaration

We, the undersigned trustees of Gloucester Zakat Charity, confirm that we have read, understood, and approved this Financial Reserves Policy and commit to its implementation.

Name	Role	Signature	Date
Mr Abdullah Abdul Samad Patel	Chair	A. Patel	01/02/2026
Mr Kamel Boulkenafet	Trustee	K. Boulkenafet	01/02/2026
Mr Hashim Moolla	Trustee	H. Moolla	01/02/2026
Mr Farouq Ginwalla	Trustee	F. Ginwalla	01/02/2026
Ms Mariam Qureshi	Trustee	M. Qureshi	01/02/2026

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